Micron Technology, Inc.

MU NASDAQ

Hold	$833.59 ▼ 5.78%	12M Price Target $950.00	52-Week Range $192.59 – $1255.00	Market Cap $943.14B

MU: HBM Darling Hits Air Pocket, Puts Pile In

WHAT HAPPENED

- MU dropped nearly 6% today and is now down ~15% in four sessions from the $983 peak on Oct 28 — this is a classic "too far too fast" unwind after a monster run (stock is still up ~4x from the 52-week low of $192). No company-specific news, no filings — this is pure profit-taking plus heavy institutional hedging.
- The options tape is screaming caution: traders bought ~$246M worth of November puts at the $850/$860/$870 strikes at 20-35x normal open interest. That's not retail — that's a big fund either hedging a huge long position or betting on more downside into year-end.

WHY IT MATTERS

When a stock rips 4x and then starts bleeding on no news while sector ETFs are GREEN (consumer disc +2.4%, financials +1.9%), that's a tell — money is rotating OUT of crowded AI/semi winners and INTO laggards. The put buying at just-out-of-the-money strikes ($850-870 vs spot $833) tells me smart money thinks we see $800 or lower before November expiration. That said, the fundamental story hasn't changed: Micron's HBM3E memory is sold out through 2026, pricing is going UP not down, and they're the #2 player behind SK Hynix in the single hottest component in AI servers. This looks like a healthy pullback in a secular bull story, not the start of something ugly — but you don't need to catch the knife today.

POLICY & POLITICAL WATCH

Micron is the single biggest US beneficiary of the CHIPS Act — they're building a $100B fab complex in New York and $25B in Idaho with roughly $6.1B in direct federal grants already awarded. The Trump administration's push to tighten semiconductor export controls to China is a double-edged sword: it protects Micron's IP but China is ~11% of their revenue, and any retaliation (China already banned Micron from critical infrastructure buyers in 2023) could hit the top line. Watch the ongoing tariff negotiations and any new BIS export rules on HBM — if HBM gets added to the restricted list for China, that's actually BULLISH for US-based Micron because it pulls demand toward non-Chinese suppliers.

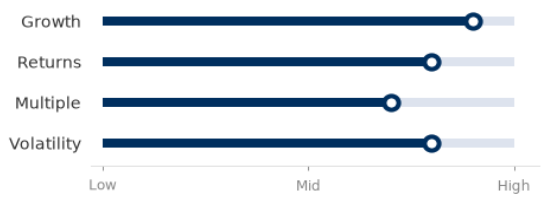
IS IT EXPENSIVE?

At $833 and a $943B market cap, MU trades around 57x this year's earnings and ~38x next year's — meaning you're paying $38 for every $1 they're expected to earn in FY27. That's rich for a historically cyclical commodity memory business, but the bulls argue HBM has transformed Micron into a quasi-secular AI growth story that deserves a Nvidia-lite multiple. Reality is probably in between — fair value is more like $900-1000 if HBM pricing holds, which means today's price isn't a screaming bargain but it's no longer euphoric either.

Key Data

Price (USD)	**$833.59**
12M Price Target	**$950.00**
Upside / (Downside)	**+14.0%**
Market Cap	**$943.14B**
FY2026E Revenue	**$52,000M**
FY2027E Revenue	**$68,000M**
FY2026E EPS	**$14.50**
FY2027E EPS	**$22.00**
Fwd P/E	**57.5x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

MU — Micron Technology, Inc. | November 02, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$920.00**	$860.00	**$760.00**
6 Months	**$1100.00**	$950.00	**$700.00**
1 Year	**$1300.00**	$1050.00	**$650.00**
2 Years	**$1600.00**	$1200.00	**$600.00**
5 Years	**$2200.00**	$1500.00	**$500.00**
10 Years	**$3500.00**	$2000.00	**$400.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Discretionary, Financials, Materials — this is a classic "risk-on rotation" day where money leaves crowded AI/semi winners and flows into cyclicals that benefit from rate cuts and consumer strength.

COOLING OFF: Tech/Semis — not shown in the movers list, which itself is the tell. When semis aren't in the top gainers on a green day, that means they're being sold.

ROTATION WATCH: Money is rotating from "AI winners" into "AI laggards and cyclicals" — this is typical late-stage behavior in a bull market where investors book gains in what worked and hunt for what hasn't moved yet.

RELATED PLAY: If you believe HBM demand is real but want less single-stock risk, Applied Materials (AMAT) and Lam Research (LRCX) sell the equipment that makes HBM — they win regardless of whether Micron or SK Hynix takes share.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the king of the AI infrastructure trade and the primary customer pulling HBM demand — as NVDA goes, so goes MU's biggest end market.
- AVGO (Broadcom): Custom AI chip tailwinds from hyperscaler ASIC programs — these chips also need HBM, so AVGO strength is indirectly bullish for MU.

MU CONTEXT: Micron has been LEADING the semi group all year on the HBM narrative, but today it's lagging — that's a short-term warning sign that the leadership baton may pass. If MU can't reclaim $900 within two weeks, the technical story weakens and $780 becomes the next real support level.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: $780-820 on further pullback

Time Horizon: 12-24 months

Thesis Invalidation: HBM pricing cracks or China retaliates with memory export restrictions

Hedging: Buy protective puts or pair with short SOXX to isolate MU-specific thesis

This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.